

I will say that in my trading, I usually ignore double tops. Why? Because the typical decline is meager. As I have aged, it makes more sense for me to invest in a diversified portfolio instead of doing lots of trading. I no longer need to day or swing trade when I can be riding my bicycle and making thousands. I will assess each situation. If it looks dire, where I would expect a huge loss, then I'll sell.

In this figure, find point H in December. I consider this the launch price for the double top pattern. If I were looking at the stock the day after F (the breakout) and seeing the large drop after the earnings announcement, I'd be afraid the stock would continue lower, retracing most of its gains down to H (as a worst-case scenario).

Statistics

[Table 31.2](#) shows general statistics.

Number found. I found 784 Adam & Eve double tops in 533 stocks from July 1991 to February 2020. Not all stocks covered the entire period, and some no longer trade. I consider this chart pattern rare. Of the four combinations of Adam and Eve double tops, this one has the fewest bull market samples. Because it's rare, bear market samples are too few to show, so the number found is for bull markets only.

Reversal (R), continuation (C) occurrence. Since we are dealing with double tops and downward breakouts, all patterns act as reversals. That means price enters the bottom of the pattern going up and the breakout is downward, reversing that uptrend.

Average decline. The average decline is slightly better than the other three combinations of Adam and Eve double tops. It's even better than the 15% average for all chart pattern types (not just Adam and Eve varieties).